

How it works

International Financial Reporting Standards (IFRS) are the most widely accepted standards for accounting, and they are used in more than 110 countries. Originally introduced to harmonize accounting across Europe, they have with time spread around the world. IFRS are not to be

confused with International Accounting Standards (IAS), which were in use from 1973 to 2001. Generally Accepted Accounting Principles (GAAP), which are known colloquially as accounting standards or standard accounting practice, are country-specific guidelines for recording and reporting accounts. They differ from one jurisdiction to another.

HISTORICAL COST PRINCIPLE	MATCHING PRINCIPLE	REVENUE RECOGNITION PRINCIPLE	CONSERVATISM	PRINCIPLE OF MATERIALITY
Assets and liabilities are valued at their buying price (in countries with high inflation or hyperinflation, other principles, such as fair value, are used).	The time period in which a business's expenses and revenue figures are collected always concurs.	Revenue should be recorded at the moment when: a) goods or services are exchanged; b) assets can be converted to cash; c) it is earned—not when it is received.	If there are alternatives for reporting on an item, accountants should choose to report the lower amount of income or asset gain.	Accountants may make a professional decision to go against any one of the other principles.
If a company bought a factory 50 years ago for \$100,000, that will be its stated value today, even though its market value now is far higher.	A grocery store measures costs incurred and revenues gained over the same time period, because when sales are high, costs are also likely to be high, due to the need to buy more stock.	A toy-maker takes an order for 500 toys in July, delivers it in September, and is paid for it in December. The revenue is recorded in September, when the goods were exchanged.	If a company is involved in a lawsuit, it must report the potential losses rather than the potential gains, in the notes of the financial statement.	An oil refinery buys a \$100 whiteboard, which could last 10 years. Under the matching principle, it should be billed for \$10 each year, but the accountant enters it as a one-time cost.
Ensures uniformity and prevents the overvaluation of assets, which was a feature of the 1929 Wall Street Crash.	Avoids different time scales, which could present a distorted picture and erratic financial results—for example, with high revenues from one period and high costs in another.	Matches the time period that work was undertaken to when the payment was received, as with the matching principle.	Prevents companies from overestimating money they will make in the future, then running into debt if it does not materialize.	Saves time for small, almost insignificant transactions when there is no risk of it being applied misleadingly.
 Assets, especially property, acquired a long time ago are invariably represented as being worth less than their current real value.	 Helps to present accounts in a representative manner.	 Revenue may not always be received.  If there are doubts about a recipient's ability to pay, the company can make an allowance for doubtful accounts.	 Requires a degree of objectivity from accountants: if this objectivity is absent, financial reports can be misleading.	 Saves time on accountancy.  Makes information easier to read—for example, figures can be rounded to the nearest dollar, thousand, or even million dollars.